- ***Sale of SureCheck***. On October 30, 2019, we sold substantially all of the assets of SureCheck, our food safety and workforce product solution.

**Results of Operations for the Years Ended December 31, 2019 and December 31, 2018**

We reported revenues of $187.2 million for the year ended December 31, 2019, down 7.0% from $201.2 million for the year ended December 31, 2018. Our net loss was $15.6 million or $0.96 loss per diluted share for the year ended December 31, 2019 versus a net loss of $24.1 million or $1.50 loss per diluted share for the year ended December 31, 2018. Our year-over-year unfavorable performance was primarily driven by lower Restaurant/Retail hardware revenue and corresponding hardware support service revenue from our traditional tier 1 customers as one of these customers completed significant projects in 2018 which were not repeated in 2019. The Company partially offset these reductions with continued growth in Brink POS revenue, including related SaaS, hardware and support services. The 2018 net loss include a valuation allowance of $14.9 million to reduce the carrying value of our deferred tax assets.

Operating segment revenue is set forth below:

| (in thousands) | Year ended December 31, 2019 | Year ended December 31, 2018 | $ variance | % variance |
|---|---|---|---|---|
| **Restaurant/Retail** | | | | |
| Core | $ 78,238 | $ 102,877 | $ (24,639) | (24)% |
| Brink * | 41,689 | 25,189 | 16,500 | 66 % |
| SureCheck | 3,380 | 6,003 | (2,623) | (44)% |
| **Total Restaurant Retail** | $ 123,307 | $ 134,069 | $ (10,762) | (8)% |
| | | | | |
| **Government** | | | | |
| Intelligence, surveillance, and reconnaissance | $ 29,541 | $ 30,888 | $ (1,347) | (4)% |
| Mission Systems | 33,513 | 35,082 | (1,569) | (4)% |
| Product Sales | 871 | 1,207 | (336) | (28)% |
| **Total Government** | $ 63,925 | $ 67,177 | $ (3,252) | (5)% |

* Brink includes $0.3 million of Restaurant Magic for 2019

Product revenues were $66.3 million for the year ended December 31, 2019, a decrease of 15.8% from $78.8 million recorded in 2018. This decrease was primarily driven by lower revenues from our tier 1 customers and by a decrease in our international business. Our hardware sales in the Restaurant/Retail reporting segment were down versus prior year as we completed hardware project installations with a large domestic customer during the first half of 2018 which was not recurring in 2019. Additionally, international sales were down in 2019 and SureCheck was divested. SureCheck product revenue was $0.7 million in 2019 versus $2.0 million in 2018.

Service revenues were $57.0 million for the year ended December 31, 2019, an increase of 3.1% from $55.3 million reported for the year ended December 31, 2018, primarily due to an increase in Brink, including a $3.9 million increase in Brink POS SaaS revenue more than offsetting a reduction in Services to our traditional Tier 1 customers and SureCheck Services. Surecheck Service revenue was $2.7 million in 2019 versus $4.0 million in 2018.

Contract revenues were $63.9 million for the year ended December 31, 2019, compared to $67.2 million reported for the year ended December 31, 2018, a decrease of 4.8%. This decrease was driven by a 4% decrease in our Mission Systems revenue due to reduction of revenue on cost-based contracts and a 4% reduction in ISR revenues due to ceiling limitations in a large customer's funding.

Product margins for the year ended December 31, 2019, were 22.9%, in line with the 23.0% for the year ended December 31, 2018.

Service margins were 30.9% for the year ended December 31, 2019, an increase from 23.8% recorded for the year ended December 31, 2018. Service margins increased primarily due to Brink POS SaaS and the increase in profitability in our field service business. During 2018 and 2019, impairment charges were recorded for SureCheck capitalized software of $1.6 million and $0.7 million, respectively.